

Multiple Choice

1. **Answer:** A

Options: A) Economic resources are allocated according to the decisions of the central bank.; B) Private property is fundamental to innovation, growth, and trade.; C) A central government plans the production and distribution of goods.; D) Most wages and prices are legally controlled.

Note: Correct option: A - Economic resources are allocated according to the decisions of the central bank.

2. **Answer:** D

Options: A) Seasonal unemployment; B) Casual unemployment; C) Cyclical unemployment; D) Structural unemployment; E) Underemployment

Note: Correct option: D - Structural unemployment

3. **Answer:** D

Options: A) The largest and smallest; B) The smallest and second smallest; C) The middle two; D) The smallest 2; E) The largest 2

Note: Correct option: D - The smallest 2

4. **Answer:** A

Options: A) 75 percent.; B) 0.5 percent.; C) 20 percent.; D) 100 percent.; E) 25 percent.

Note: Correct option: A - 75 percent.

5. **Answer:** C

Options: A) An increase in consumer confidence.; B) Increase in the prices of goods and services.; C) Business firms expect lower sales in the future.; D) A technological advancement in the production process.; E) An increase in the wealth of consumers.

Note: Correct option: C - Business firms expect lower sales in the future.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** It will not be unbiased or efficient. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** $P < MC$. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key